

Aswath Damodaran says he is a teacher first, who also loves to untangle the puzzles of corporate finance and valuation. The Professor of Finance at New York University's Stern School of Business says that the current banking crisis is a problem of trust deficit and there will be pain till the lenders regain the trust. In an interview with *Business Today's* Global Business Editor **Udayan Mukherjee**, Damodaran talks about the banking crisis, recession, why regulators put together do not have the resources to stop a complete bank run and why it is healthier for start-up ecosystems not to have too much money. Edited excerpts:

Q: The banking crisis started off with Silicon Valley Bank, followed by Signature and then Credit Suisse. And just when we thought it couldn't get any bigger, there are concerns about Deutsche Bank. What is the endgame?

A: The central problem with a banking crisis is that banks are built on trust. When I talk about banks, I think of them as the exact opposite of when we talk about bitcoin. Bitcoin, I would describe as a currency for the paranoid by the paranoid and essentially built on no trust at all. Banks, at the other extreme, are built entirely on trust. As an example, if we all decided to withdraw money from JPMorgan Chase, the largest bank in the world today, tomorrow, there would be no bank left. So with banks, it's very difficult to figure out when the trust comes back. You can almost see the game play out: you get a weak bank, it gets knocked over, and the next target gets lined up almost immediately. I think it will end... no, let's hope it ends because otherwise, the end result is a catastrophe. It will end, though it's almost unpredictable when it ends, but it is going to play itself out and eventually, trust will come back. But there's gonna be a lot of pain along the way.

Q: Will there be a serious accident by the time this ends? Or because the regulators know what the collapse of a single institution can do

to the system, they will do whatever it takes—throw whatever money it takes—to prevent that from happening?

A: See, they can do that with a single institution, but they can't do it for all institutions collectively. The reality is that [all] the regulators put together do not have the resources to stop a complete bank run. And that's what I meant about this being unpredictable. If, in fact, the regulators were in control of the process, you could rest easier, but they're not. They only have partial control; they will do what they can to try to change the game. But the game here is to bring trust back. And no minor money brings that back instantaneously. Unfortunately, we have a trust deficit; we've had a trust deficit for a decade or more, and I trace it back to 2008. When I described 2008 as the year we lost trust, we lost trust in governments, we lost trust in regulators, we lost trust in banks, and that trust never quite came back. So, I think we're starting with a trust deficit, to begin with. And with social media playing out the way it is, it becomes a lot more difficult to stop rumours from spreading and trust to come back.

Q: That's exactly the point, Aswath. Because the trust deficit that you allude to, we can see how it raises doubts even about a behemoth like Deutsche Bank. Do you fear that this could actually lead to far greater damage than is warranted today in the banking space?

A: Yes, you can get into a death spiral very quickly. I remember November of 2008 when there was a very real chance that nothing would be left standing when a rumour started that Morgan Stanley would not be around in a couple of weeks. And the rumour itself created enough trouble that Morgan Stanley actually got into trouble. The perception that you're in trouble can actually create trouble. How can you know at what point trust comes back enough that people leave their money? That's what the regulators and the governments are looking for, some kind of a signal that this is not going to be an end run where everybody's got to take their money out.

Q: Prudential norms in banking in the US are actually not making things easier because apparently the bond losses of all the banks put together is very, very close to the entire contingency reserves of the US banking system put together...

A: What you're talking about is the fact that many of